

ROOT CAUSE ANALYSIS

Driver Cancellation Rate Increase — Ola

Subject: 5% increase in driver-side ride cancellations

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Executive Summary

Driver-side ride cancellations on Ola have increased by 5 percentage points over a one-month window, localized to Gurugram. This document lays out a structured root-cause analysis: how the problem is defined, the clarifying questions and assumptions used to scope it, where in the driver journey cancellation occurs, the hypotheses generated across driver, competition, operational, product, and business dimensions, the data needed to test each one, and a prioritized set of recommendations with success metrics.

- **Headline finding:** Two hypotheses are most likely to explain a sudden, city-specific, gradual increase: (1) a commission rate hike in Gurugram reducing driver take-home pay, and (2) local auto/bike-union pressure or safety-related coercion specific to that city. Both are consistent with the city-specific, non-product nature of the spike.
- **Recommended immediate action:** Pull the Gurugram commission change log and cancellation-reason tagging data for the last 60 days, and run 15–20 driver interviews in Gurugram this week before committing to a fix.
- **Why this matters:** Driver cancellations directly hurt rider trust and retention, inflate pickup times, and — if commission-driven — signal a margin lever that may be costing more in churn than it earns in revenue.

1. Problem Definition

1.1 What is a Driver Cancellation?

Definition

- A driver cancellation occurs when a Captain (driver) accepts/confirms a ride request and then cancels it before completing the trip — i.e., the cancellation is initiated from the driver side, not the rider side.
- This is distinct from a driver simply ignoring or not accepting an incoming request (a non-acceptance), and distinct from a rider-initiated cancellation.

1.2 Background: Ola's Core Services

Ola is an Indian ride-hailing and mobility platform offering:

- Transportation Services — riders book a cab, auto, or bike taxi and a driver (“Captain”) completes the trip.
- Intercity/Rentals and other mobility products (outside this analysis's scope).

This RCA assumes the cancellation spike is occurring within core Transportation Services (cab/auto/bike), since that is where driver-rider matching and cancellation behavior is most consequential to rider experience.

1.3 Framing the Increase

Before diagnosing causes, the increase itself must be precisely framed along four dimensions:

Dimension	Question	Why it matters
Relative vs. Absolute	Did cancellation rate go from 20% to 25% (5 pts absolute, 25% relative), or did it increase by 5% of its prior value (20% → 21%)?	Changes the perceived severity and which hypotheses are plausible at scale
Sudden vs. Gradual	Did this happen overnight (e.g., after a policy change) or build up over the month?	Sudden points to a discrete trigger (price/commission/outage); gradual points to a creeping cause (seasonal, competitive, morale)
Scope	Is it one city, one vehicle type, one time-of-day band, or platform-wide?	Localized issues point to local causes (commission, unions, weather); platform-wide issues point to product/app causes
Duration	Is this a one-time blip or a sustained trend over weeks?	Determines urgency and whether this is noise or signal

Working definition for this analysis: a 5-percentage-point increase in the driver cancellation rate (e.g., 20% → 25%) over the trailing month, concentrated in Gurugram, using the existing cancellation-tracking methodology (no change in measurement).

2. Clarifying Questions

Before forming hypotheses, the following questions should be asked of stakeholders (data/ops/business teams) to scope the problem correctly:

2.1 Service & Segment

- Which service is affected — Bike, Auto, or Cab — or all three equally?
- Is the spike specific to a vehicle category (e.g., only Auto) or uniform across categories?

2.2 Magnitude & Timing

- “Up by 5%” — is this 5 percentage points over the baseline rate, or a 5% relative increase?
- Did this increase happen suddenly (e.g., within days of a specific change) or gradually over the month?
- When exactly did the trend start? Is it still rising, or has it plateaued?

2.3 Geography

- Is this specific to one city (e.g., Gurugram) or visible across multiple geographies?
- If city-specific, are neighboring or comparable cities (e.g., Chennai, Hyderabad) seeing similar movement?

2.4 Product & Business Changes

- Were there any recent app updates, UI changes, or backend/API changes (maps, ETA, payment) in the affected period?
- Were commission rates, driver incentives, or surge/payout structures changed recently?
- Has the methodology for calculating/logging “driver cancellation” changed?

2.5 Related Metrics

- Are other metrics also moving — ride completion rate, rider-initiated cancellations, driver earnings, driver online hours, app crash rate, CSAT?
- Has driver supply (active driver count) changed in the affected city?

3. Assumptions

Where live data or stakeholder answers are not available, the following assumptions are made to allow the analysis to proceed. These should be validated against real data as soon as it is accessible.

Clarifying Question	Working Assumption
Service affected	Bike and Auto segments specifically; cab segment not yet confirmed as affected. Treated as transportation services broadly until segment-level data arrives.
Magnitude	Cancellation rate increased by 5 percentage points over its normal baseline (e.g., 20% → 25%), not a 5% relative shift.
Timing	The increase has built up gradually over a one-month period rather than appearing overnight.
Geography	The problem is concentrated in Gurugram and not yet observed at the same intensity in other cities.
Product changes	No major app update, UI overhaul, or platform-wide bug has shipped recently — ruling out a global product cause for what is a city-specific issue.
Commission/incentives	Ola has recently increased commission charged to drivers, particularly felt in Gurugram.
Measurement	The method used to calculate and log driver cancellation has not changed.
Other metrics	Not yet confirmed whether ride completion rate, driver earnings, or rider cancellations have also shifted — flagged as an open data gap.

4. Driver Journey

Mapping the end-to-end driver journey helps pinpoint exactly where in the funnel the cancellation is being logged, since the cause and the fix differ sharply depending on the moment of cancellation.

1 Driver comes online	2 Receives ride request	3 Accepts ride	4 Navigates to pickup	5 Reaches pickup	6 Starts ride	7 Completes trip
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Highlighted steps (3–5) are where a driver-side cancellation — as defined in Section 1.1 — can occur, since the ride has already been accepted/confirmed. Cancellations before acceptance (ignoring a request) are a separate metric (acceptance rate), not counted here.

Journey Stage	What can trigger a cancellation here
3. Accepts ride	Driver realizes the destination is undesirable, fare/pickup distance looks poor, or a better ride appears on a competing app immediately after accepting.
4. Navigates to pickup	Heavy traffic, flooded roads, local union interference, or a more attractive ride request appears en route (“street hailing” competition).
5. Reaches pickup	Driver cannot reach/contact the rider, rider is not at the pickup point, long wait time, or rider requests cash payment off-platform and driver cancels to avoid commission.

5. Root Cause Analysis & Hypotheses

Causes are grouped into five categories, mirroring how the issue would be triaged operationally: driver-related, competitive, operational/environmental, product/technical, and business/commercial.

5.1 Driver-Related Reasons

- Driver does not want to travel to the rider's destination (undesirable area, no return ride likely).
- Low fare or long pickup distance makes the trip unattractive relative to effort.
- Strong preference for cash payment; cancels rides that are app-payment only.
- Unable to contact the rider after accepting (no response to calls).
- Long wait time at pickup point with no sign of the rider.
- Low overall driver earnings reducing motivation to complete lower-value trips.

5.2 Competition-Related Reasons

- Driver receives a better-paying ride request on a competing platform (e.g., Uber, Rapido) right after accepting on Ola.
- An offline/street-hailing customer offers a better fare while the driver is en route to the pickup point.

5.3 Operational & Environmental Reasons

- Heavy traffic congestion or road closures make reaching the pickup point impractical within an acceptable time.
- Heavy rainfall or flooded roads, common in Gurugram during certain months, causing drivers to avoid trips.
- Local auto/taxi union pressure — non-union drivers pressured or coerced into cancelling rides in certain zones, or made to convince riders to take an off-platform trip instead for “safety.”

5.4 Product & Technical Reasons

- GPS inaccuracy causing driver to be misrouted or rider location to appear incorrect.
- Maps/API failures when loading pickup or drop locations for specific areas.
- Notification delays meaning the driver acts on stale ride information.
- Server latency causing ride details to load slowly after acceptance, leading to timeout-driven cancellation.
- Incorrect ETA or fare estimation causing the driver to back out once true distance/fare becomes clear.

5.5 Business & Commercial Reasons

- Increase in commission percentage charged by Ola, reducing driver take-home pay per trip.
- Changes (reductions) in driver incentives, bonuses, or surge payouts that previously offset low-fare trips.

Scoping logic

- Because the spike is city-specific (Gurugram) rather than nationwide, hypotheses that would affect all geographies equally — a global app bug, a platform-wide UI change, or a universal software update — are deprioritized unless Ola is known to run city-level feature flags or experiments.
- This leaves commission/incentive changes (if rolled out by city), local weather/traffic conditions, and local union dynamics as the hypotheses best matching the observed pattern, with product/technical issues remaining plausible only if a backend dependency (e.g., maps API) has city-specific or regional rollout.

5.6 Prioritized Hypotheses Summary

#	Hypothesis	Category	Fit with observed pattern
H1	Ola increased commission rates in Gurugram, reducing driver take-home pay and pushing drivers to cancel lower-value trips or go off-platform.	Business	Strong — city-specific, gradual, consistent with confirmed commission change
H2	Local auto/bike union pressure or safety-related coercion is forcing drivers in certain Gurugram zones to cancel confirmed rides.	Operational	Strong — explains city-specificity; needs ground-level validation
H3	Heavy rain, flooding, or traffic in Gurugram over the past month is causing drivers to avoid certain trips after accepting.	Operational/Environmental	Moderate — seasonal and plausible, but unlikely alone to explain a full 5-pt shift
H4	A backend issue (maps API load failures or server latency fetching ride details) specific to Gurugram is causing post-acceptance cancellations.	Product/Technical	Moderate — needs confirmation that any backend dependency is regionally scoped
H5	Increased competitive intensity (Rapido/Uber) in Gurugram is pulling drivers to cancel Ola rides for better offers.	Competition	Plausible — testable via timing correlation with competitor promotions

6. Data Investigation Plan

Each hypothesis should be tested against specific, available data cuts before any solution is committed to.

Data Cut	Purpose	Hypotheses Tested
Cancellation rate by city	Confirm Gurugram-specific spike vs. national trend	All
Cancellation rate by vehicle type (Bike/Auto/Cab)	Identify if the issue is segment-specific	H1, H2, H5
Cancellation by pickup distance	Test whether long pickup distances correlate with cancellation	Driver-related, H1
Cancellation by time of day	Detect patterns tied to traffic/peak hours or union activity windows	H2, H3
Cancellation by driver tenure	Check if new or veteran drivers are disproportionately cancelling (signals onboarding or fatigue issues)	Driver-related, H1
Driver earnings before vs. after commission change	Directly test the commission hypothesis	H1
App crash rate & API latency logs (Gurugram vs. other cities)	Test the technical hypothesis at a regional level	H4
Weather and traffic data overlay (Gurugram, past 30 days)	Correlate rainfall/traffic spikes with cancellation spikes by date	H3
Cancellation reason codes (if logged by driver app)	Direct, self-reported reason data if available	All
Competitor activity / promo tracking in Gurugram	Identify if a competitor pushed aggressive driver incentives recently	H5

7. Prioritizing Hypotheses

7.1 Impact vs. Effort

Plotting each hypothesis by the impact of validating/fixing it against the effort required to investigate:

Hypothesis	Impact if confirmed	Effort to investigate	Priority
H1 — Commission increase	High — direct, reversible business lever	Low — internal data only	P0

Hypothesis	Impact if confirmed	Effort to investigate	Priority
H2 — Union pressure/coercion	High — affects safety & city operations	Medium — needs ground survey/interviews	P0
H4 — Backend/API issue	Medium-High — fixable engineering issue	Low-Medium — log analysis	P1
H3 — Weather/traffic	Medium — largely uncontrollable but explains variance	Low — public weather data + internal logs	P1
H5 — Competitive poaching	Medium — informs incentive strategy	Medium — needs market intel	P2

7.2 Frequency Analysis

Tag a sample of recent cancellations (where reason codes or driver app logs exist) and rank causes by raw frequency of occurrence. This quickly tells us whether the spike is dominated by one or two causes (e.g., 60% commission-related) versus spread thin across many small factors — which changes whether we pursue one decisive fix or several smaller ones.

7.3 Segmentation Analysis

Slice the cancellation data by city, vehicle type, driver tenure, and time-of-day simultaneously to find the segment(s) where the spike is most concentrated. For example, if the increase is overwhelmingly in Auto rides during evening peak hours in specific Gurugram zones, that combination strongly favors the union/local-pressure hypothesis (H2) over a blanket commission effect (H1), since a pure commission effect would typically show up more evenly across vehicle types and times.

8. Validation Methods

Method	What it validates	Notes
Driver interviews (1:1, qualitative)	Union pressure, commission dissatisfaction, competitive poaching — the “why” behind the numbers	Most useful for H1, H2, H5; should target drivers who cancelled in the last 2 weeks
Driver surveys (quantitative, larger sample)	Confirms how widespread a given reason is across the driver base	Use to size H1 vs H2 vs H5 at scale
Funnel analysis	Pinpoints exact step (accept → navigate → pickup) where cancellation concentrates	Cross-reference with Section 4 driver journey
Cohort analysis	Tracks whether the same drivers are repeat-cancelling vs. a broad, one-time behavior shift	Useful to separate a few bad actors from a systemic issue
A/B testing	Tests proposed fixes (e.g., a partial commission rollback in a subset of zones) before full rollout	Critical before committing to a costly business fix like H1
Dashboard / log investigation	Confirms or rules out the technical hypothesis (H4) via crash/latency logs	Should be the fastest, cheapest check — do this first

9. Recommendations

Recommendations are organized by root cause, each with a short-term (mitigate now) and long-term (structural) fix, plus the metric used to confirm success.

9.1 Commission Increase (H1)

Short-term fix

- Roll back or cap the recent commission increase specifically in Gurugram for a defined trial period while the impact is reassessed.
- Introduce a temporary earnings-protection bonus for drivers completing rides below a fare threshold, to offset the commission hit without a full rollback.

Long-term fix

- Move to a tiered or dynamic commission structure that scales with driver tenure, rating, or trip volume rather than a flat increase.
- Build a pricing/commission change governance process that requires a city-level driver-earnings impact simulation before rollout.

- **Success metric:** Driver cancellation rate in Gurugram returns toward baseline within 4–6 weeks of the trial rollback; driver earnings per online hour stabilizes or improves.

9.2 Local Union Pressure / Coercion (H2)

Short-term fix

- Stand up a confidential driver reporting channel specifically for coercion/safety incidents in Gurugram, with ops team follow-up.
- Deploy local field ops/marshals at known hotspot zones to support drivers and de-escalate union conflicts.

Long-term fix

- Engage formally with local auto/taxi union representatives and city authorities to negotiate operating terms in contested zones.
- Build an in-app SOS / safety escalation flow that lets drivers flag coercion without needing to fully cancel the ride.

- **Success metric:** Reduction in cancellations tagged to safety/coercion reason codes in flagged Gurugram zones; increase in driver-reported incidents resolved.

9.3 Weather & Traffic (H3)

Short-term fix

- Activate a rain/traffic surge or incentive multiplier in Gurugram during heavy-rain periods to keep driver willingness high.
- Push proactive in-app alerts to riders about likely delays during bad weather, reducing rider frustration that leads drivers to face conflict at pickup.

Long-term fix

- Integrate live weather and traffic data into the dispatch algorithm to adjust ETA estimates and matching distance dynamically.
- Build a seasonal playbook for monsoon-affected cities with pre-set incentive triggers.

- **Success metric:** Cancellation rate during high-rainfall/high-traffic windows in Gurugram converges with cancellation rate in normal-weather windows.

9.4 Backend / Technical Reliability (H4)

Short-term fix

- Hotfix or failover for the maps/API dependency specifically affecting Gurugram load times; add monitoring alerts for regional latency spikes.
- Add a retry/cache mechanism so ride details aren't lost if the server response is delayed after acceptance.

Long-term fix

- Invest in regional infrastructure redundancy (CDN/edge caching) for map and ride-detail services in high-density cities.
- Build automated regression tests for ride-detail load performance as part of every release.

- **Success metric:** API latency and app crash rate in Gurugram fall back to platform-wide baseline; cancellations tagged to “failed to load ride details” drop to near zero.

9.5 Competitive Poaching (H5)

Short-term fix

- Introduce short-term retention incentives (completion bonuses) for drivers in Gurugram during the period of heightened competitor activity.

Long-term fix

- Build a driver loyalty/rewards program tied to consistent ride completion rather than one-off incentives.
 - Improve real-time fare competitiveness signaling so drivers see Ola's offer is comparable before accepting elsewhere.
- **Success metric:** Driver session time on competing apps (where trackable via surveys) decreases; ride completion rate among historically dual-app drivers improves.

10. Success Metrics

The following metrics should be tracked weekly at the city level (Gurugram) and platform level, both to confirm root cause and to monitor the impact of fixes.

Metric	Definition	Target Direction
Driver Cancellation Rate	% of accepted rides cancelled by the driver before trip completion	Decrease toward baseline (-5 pts)
Ride Completion Rate	% of requested rides that complete successfully end-to-end	Increase
Driver Earnings (per online hour)	Average driver take-home pay per hour spent online	Stable or increase
Customer Satisfaction (CSAT)	Rider-reported satisfaction score, especially for rides affected by cancellation/rebooking	Increase
Average Pickup Time	Time from ride request to driver arrival at pickup	Decrease or stable
Driver Retention	% of active drivers retained month-over-month in Gurugram	Increase or stable

11. Next Steps

1. Pull and confirm hard data for the assumptions in Section 3 — exact magnitude, timing, geography, and commission change details — within 48 hours.
2. Run the dashboard/log investigation for H4 first (cheapest, fastest check) to rule in or out the technical hypothesis.
3. Launch 15–20 driver interviews and a broader driver survey in Gurugram targeting recently-cancelling drivers, focused on H1, H2, and H5.
4. Overlay weather/traffic data against the cancellation timeline to test H3.
5. Once root cause(s) are confirmed, pilot the corresponding short-term fix in a subset of Gurugram zones using an A/B test before full rollout.
6. Establish a standing weekly dashboard for the Section 10 success metrics, with a city-level cut for Gurugram, to monitor recovery and catch any similar issue earlier in other cities.

Appendix: Reference Case (Rapido)

This RCA structure mirrors and extends a comparable case study originally framed around Rapido, an Indian bike-taxi aggregator facing a similar 5% driver cancellation increase in Gurugram. Key parallels carried over and generalized here include the definition of driver cancellation as a post-acceptance, driver-initiated event; the use of a structured clarifying-questions and assumptions framework; and the identification of commission increases and local auto-union dynamics as the leading hypotheses for a city-specific spike, rather than platform-wide product or technical causes.